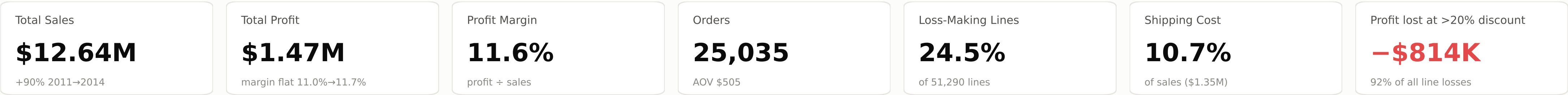


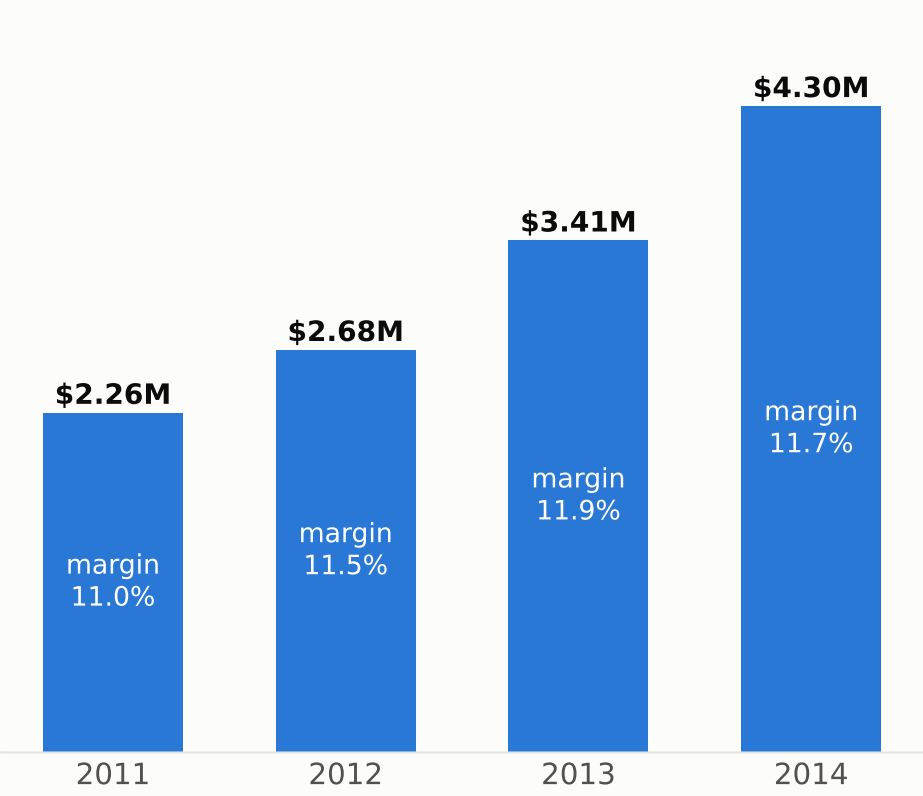
Global Superstore — Profitability Diagnostic Dashboard

Where is profit leaking? 51,290 cleaned order lines · 147 countries · Jan 2011 – Dec 2014 · all values USD



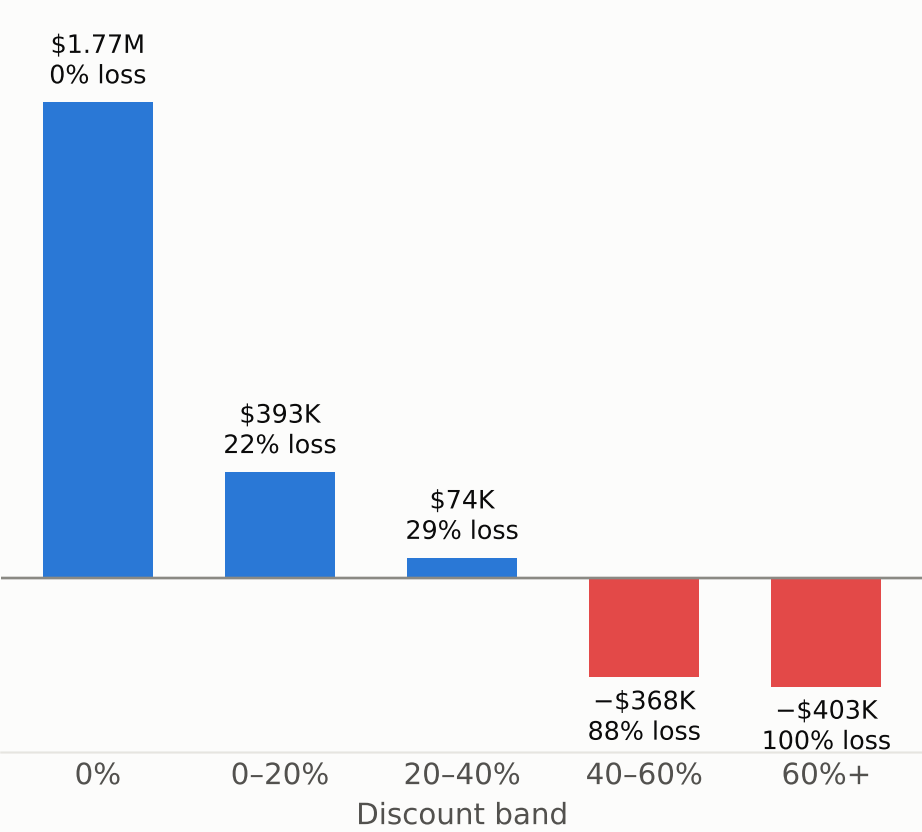
Sales grew 90%, margin did not

Sales by order year (\$M), margin inside bar



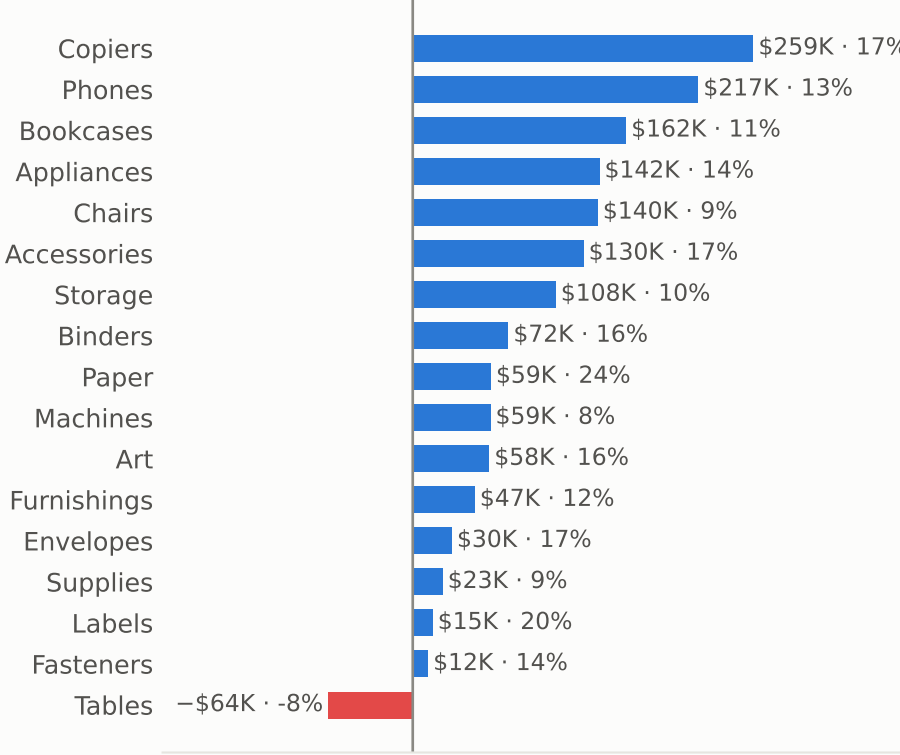
Deep discounts destroy profit

Profit (\$K) & share of loss-making lines



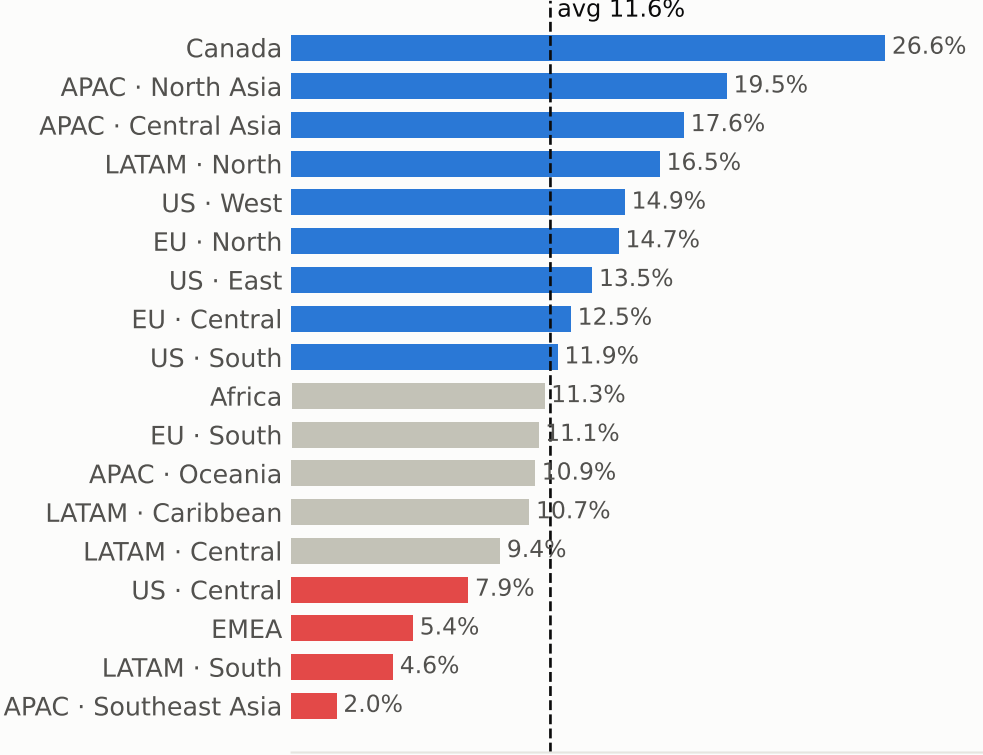
Tables is the only loss sub-category

Profit & margin by sub-category



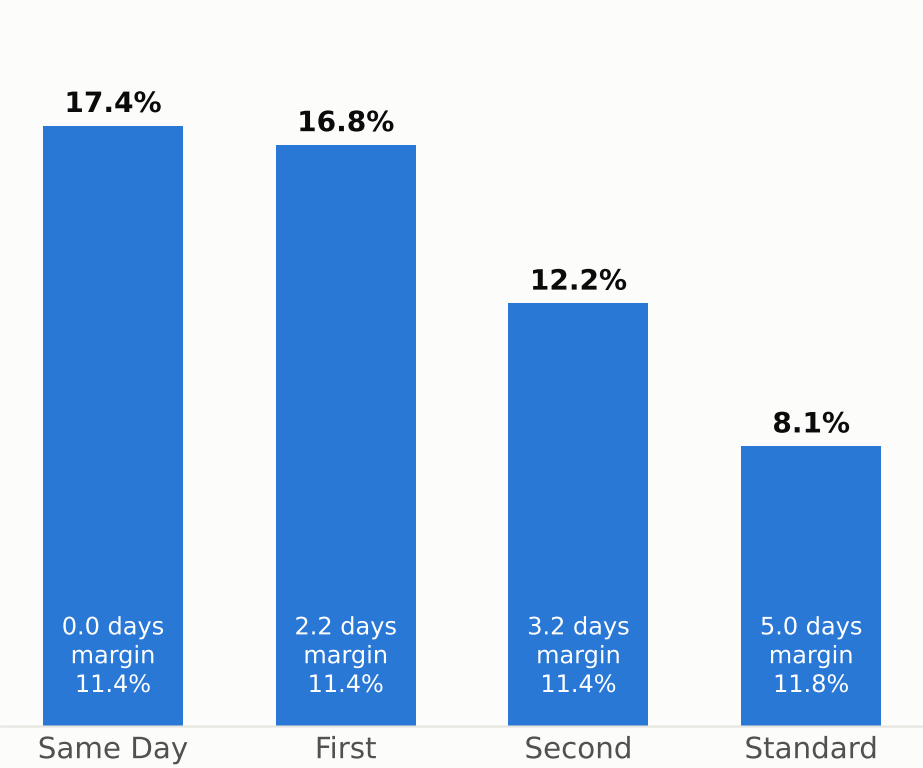
Weakest regions

Profit margin by market · region



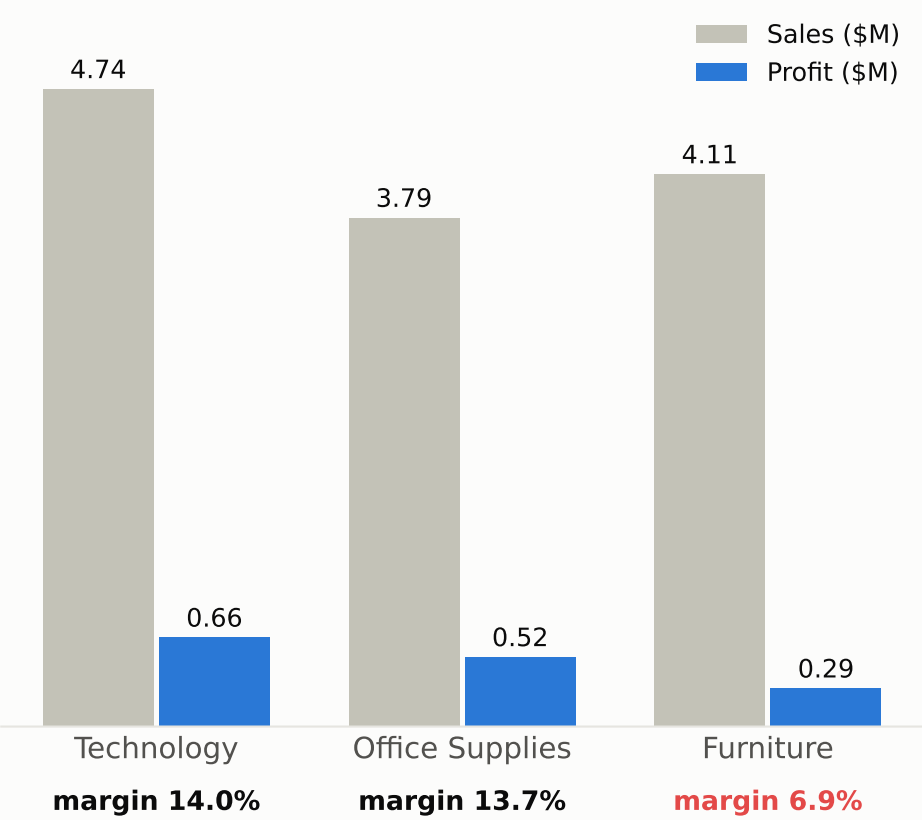
Shipping cost is priced in

Shipping cost as % of sales by ship mode



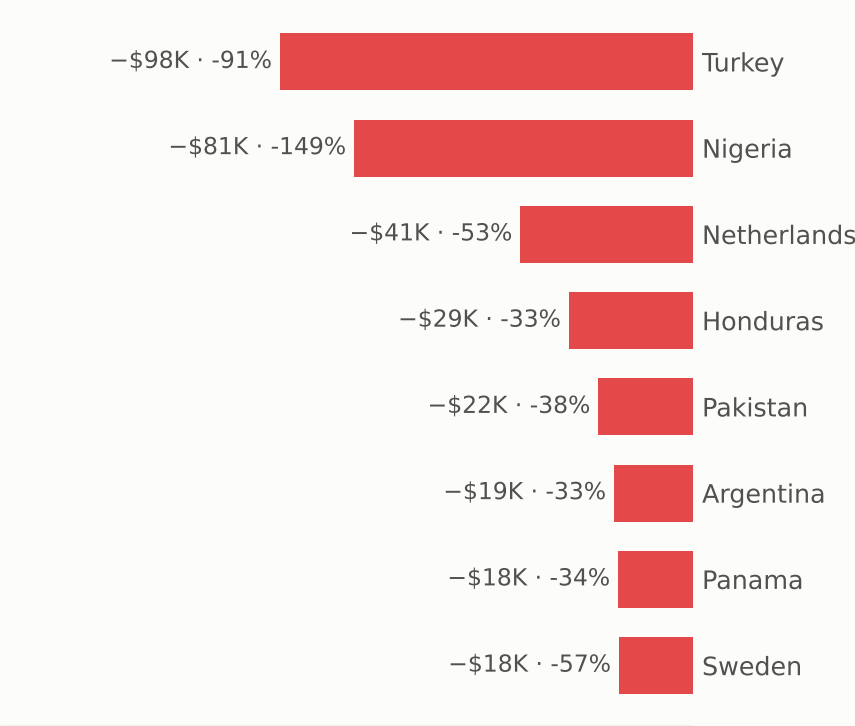
Furniture sells, but earns least

Sales vs profit by category (\$M)



29 countries lose money

Top 8 loss countries (profit, margin) — total -\$448K



Ranked profit leaks

- Discounts >20%**
-\$814K · 90% of lines lose money
- 29 loss-making countries**
-\$448K (Turkey, Nigeria, Netherlands)
- Tables sub-category**
-\$64K · 29% avg discount, -8.5% margin
- SE Asia / EMEA / LATAM South**
2.0% / 5.4% / 4.6% margin
- Shipping mode**
Not a leak: margin 11.4–11.8% for all

Answer Sheet — Key Business Questions & Recommendations

Global Superstore profitability diagnostic · method stated under each answer

EXECUTIVE SUMMARY (CFO)

Sales rose 90% (\$2.26M → \$4.30M) from 2011 to 2014 but margin only moved 11.0% → 11.7%. The leak is discounting, not shipping: order lines discounted above 20% are 15% of revenue (\$1.93M) yet lose \$814K — 92% of all line-level losses. Lines at ≤20% discount earn a 21.3% margin. A 20% discount cap would have added +\$0.81M to +\$1.03M profit over 2011–14 (margin 11.6% → 18–21%).

Q1 · PROFITABILITY

Which categories generate the most profit (\$ and %), and where do the rankings disagree?

Technology leads on both: \$664K profit, 14.0% margin. Office Supplies is last on sales (\$3.79M) but 2nd on profit (\$518K, 13.7%). Furniture is 2nd on sales (\$4.11M) but last on profit (\$285K, 6.9%) — the rankings disagree on Furniture vs Office Supplies. Tables is the only loss sub-category (−\$64K, −8.5%).

Method: SUM(Profit)/SUM(Sales) by Category & Sub-Category; ranks compared.

Q2 · PROFITABILITY

Is heavy discounting paying for itself?

No. Lines at >20% discount: 11,326 lines, \$1.93M sales, −\$814K profit, 90% loss-making vs 5.9% for ≤20%. Each \$1 sold above 20% discount loses \$0.42. 40–60% band −\$368K; 60%+ band −\$403K (100% loss rate).

Method: Discount Band lookup (0 / <20 / 20–40 / 40–60 / 60+); profit & Loss-Making Flag averaged per band.

Q3 · LOGISTICS

Which shipping modes cost the most, and is it justified?

Same Day 17.4% of sales, First 16.8%, Second 12.2%, Standard 8.1%. Speed matches price (0.0 / 2.2 / 3.2 / 5.0 days) and margin is flat at 11.4–11.8% in every mode — premium shipping is recovered in price. Hypothesis 2 (shipping leak) is rejected.

Method: Shipping Cost % of Sales and avg Ship Days (Ship Date — Order Date) by Ship Mode.

Q4 · LOGISTICS

What share of revenue is consumed by shipping?

10.7% (\$1.35M of \$12.64M). Highest for Critical-priority orders (23.8% of their sales) — yet they still earn 12.6% margin.

Method: SUM(Shipping Cost)/SUM(Sales).

Q5 · CUSTOMER

Which segment is most valuable once margin is counted?

Home Office: best margin (12.0%) and profit per customer (\$936). Consumer is largest in \$ (\$749K profit) at 11.5%. Corporate 11.5%, \$927/customer. The gap is small — segment is not a primary lever.

Method: Profit, margin and profit ÷ distinct Customer ID per Segment.

Q6 · CUSTOMER

Are the deepest discounts going to segments that need them?

No — discounting is untargeted. Every segment has ~22% of lines above 20% discount and a 14.1–14.4% average discount. Losses on >20% lines: Consumer −\$420K, Corporate −\$245K, Home Office −\$149K.

Method: Share of lines with Discount > 0.2 and their profit, by Segment.

Q7 · REGIONAL

Which regions/markets are structurally profitable vs loss-making?

Strong: Canada 26.6%, APAC North Asia 19.5%, Central Asia 17.6%, LATAM North 16.5%, US West 14.9%. Weak: APAC Southeast Asia 2.0%, LATAM South 4.6%, EMEA 5.4%, US Central 7.9%. After cleaning, no market-region is negative overall; losses sit in 29 countries (−\$448K), led by Turkey (−\$98K, −91%), Nigeria (−\$81K, −149%), Netherlands (−\$41K, −53%).

Method: Margin by Market + Region (Region read with Market) and by Country.

Q8 · REGIONAL

Continue, renegotiate, or scale back in loss-making regions?

Renegotiate, don't exit regions: the weak regions' losses come from discounting (SE Asia: 42% of sales at >20% discount, −\$62K on those lines). Put the top-8 loss countries (−\$326K) on a 1-quarter remediation; scale back any still negative after the discount cap.

Method: Profit of >20%-discount lines within each weak region.

Recommendations — actionable within one quarter

1. Cap discounts at 20% (approval required above)

+\$0.81M to +\$1.03M profit over the 4-yr base; margin 11.6% → 18–21%

Low end: all >20% volume walks away (losses avoided). High end: same volume re-priced at 20% off list.

2. Fix Tables pricing

Tables −\$64K → about +\$94K (+\$158K)

Tables >20% discount lines lose \$133K; ≤20% lines earn \$68K.

3. 90-day country remediation

Top-8 loss countries: −\$326K at stake

Turkey, Nigeria, Netherlands, Honduras, Pakistan, Argentina, Panama, Sweden. Exit/scale back if still negative after cap.

4. Keep shipping policy; monitor Critical orders

No leak found — protect current pass-through

Margins equal across modes; watch Critical priority (23.8% ship-cost ratio).

Data cleaning applied (51,290 rows)

- Ship Date: 2 Excel serials → dates
- Country: UK/US → United Kingdom/United States (149 → 147)
- Product ID: 83 embedded spaces removed
- Names: 273 double spaces collapsed
- Quantity: 17 blanks imputed (Sales ÷ product unit price)
- Discount: 16 blanks imputed (Country+Sub-Cat mode); 2 × 0.85 capped at 0.80
- Verified: no duplicates, Order-ID year = order year, ship days 0–7